

Store Brand Value Assessment

Analgesics 40%

BJ's Avg SB Savings to NB

- #1 SB savings among club competitors, outperforming Sam's (39%) and Costco (33%).
- BJ's SB savings/count (66%) are comparable to Sam's (68%) and Costco (66%).
- NB and SB price/count vary by less than \$0.003 across club retailers.

Digestive 49%

BJ's Avg SB Savings to NB

- #2 SB savings: below Sam's (53%) but ahead of Costco (46%).
- #1 SB savings/count (56%), outperforming Sam's (60%) and Costco (59%).

Allergy 47%

BJ's Avg SB Savings to NB

- #3 SB savings among club competitors, trailing Sam's (52.8%) and Costco (49.8%).
- #3 SB savings/count (72%), trailing Sam's (76%) and Costco (74%), driven by lower store brand price-per-count.
- Consider editing pricing to strengthen the value proposition.

Anti-Smoking \$0.247

BJ's Avg SB Price/Count

- Highest SB price/count among club retailers, trailing Sam's (\$0.196) and Costco (\$0.200).
- BJ's SB price/count is 24–26% higher than competing club retailers.
- Even though, price/count is not as competitive, BJ's is winning in the market due to a more affordable total cost

Methodology & Example Calculation

Allergy



BJ's SB Savings vs. NB Price

Claritin

\$37.99



Loratadine SB

\$11.99



SB savings: $(37.99 - 11.99) / (37.99)$

=68%



Analgesics



BJ's SB Savings vs. NB Price

Advil

\$19.99



Ibuprofen SB

\$12.99



SB savings: $(19.99 - 12.99) / (19.99)$

=35%



Digestive



BJ's SB Savings vs. NB Price

Miralax

\$33.49



Polyethylene Glycol SB

\$21.99



SB savings: $(33.49 - 21.99) / (33.39)$

=34%



BJ's SB Savings Price/Count

Claritin

$\$37.99 / 115 \text{ ct} = \$0.33/\text{ct}$



Loratadine SB

$\$11.99 / 365 \text{ ct} = \$0.03/\text{ct}$



SB savings/ct: $(0.33 - .03) / (0.33)$

=91%



BJ's SB Savings Price/Count

Advil

$\$19.99 / 360 \text{ ct} = \$0.06/\text{ct}$



Ibuprofen SB

$\$12.99 / 1000 \text{ ct} = \$0.01/\text{ct}$



SB savings/ct: $(0.06 - .01) / (0.06)$

=77%



BJ's SB Savings Price/Count

Miralax

$\$33.49 / 40.8 \text{ ct} = \$0.82/\text{ct}$



Polyethylene Glycol SB

$\$21.99 / 53.8 \text{ ct} = \$0.41/\text{ct}$



SB savings/ct: $(0.82 - .41) / (0.82)$

=50%



How Store Brand Price/Ct was Assessed:

1. Match comparable NB and SB products within each category
2. Calculate Price/Count for each item
3. Calculate SB Savings vs. NB
$$\text{Savings \%} = \frac{\text{NB Price/Count} - \text{SB Price/Count}}{\text{NB Price/Count}}$$
4. Average savings across all matched items within the category

Note: For Anti-Smoking, no NB in store

Anti-Smoking



BJ's SB Price/Count

Mint Nicotine Gum 2mg

$\$50.99 / 189 \text{ ct} = \$0.27/\text{ct}$



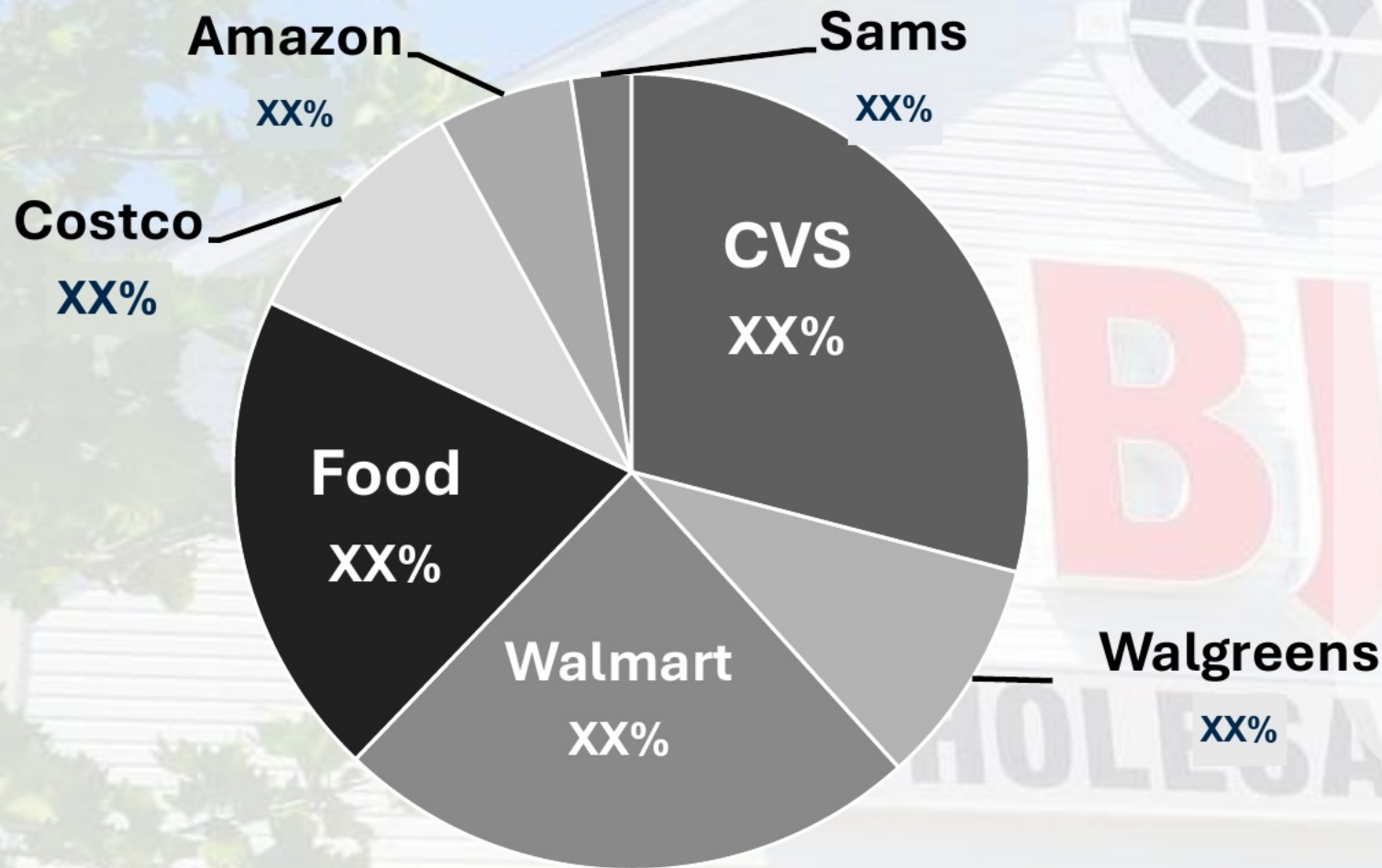
SB Price/Ct

=**\$0.27/ct**

BJ's allergy pricing is generally competitive, with the strongest value position in Fexofenadine and the largest opportunity in Fluticasone.

	Name Brand			Store Brand			Findings
	BJ's	Sam's	Costco	BJ's	Sam's	Costco	
Loratadine (Claritin NBE)	\$0.33	\$0.34	\$0.37 	\$0.03	\$0.03	\$0.04 	Maintain pricing leadership across both NB and SB offerings.
Cetirizine (Zyrtec NBE)	\$0.33	\$0.32	\$0.35 	\$0.04	\$0.04	\$0.04	Maintain parity pricing; limited differentiation opportunity.
Fexofenadine (Allegra NBE)	\$0.41 	\$0.35	\$0.35	\$0.17 	\$0.19	\$0.19	Protect SB pricing advantage to maximize value perception.
Fluticasone (Flonase NBE)	\$17.66	\$17.66	\$17.66	\$6.50 	\$4.00 	\$4.80	Evaluate SB pricing and pack architecture to close the value gap versus club competitors.
Children Loratadine (Children Claritin NBE)	\$0.44	\$0.44	\$0.50 	\$0.17	N/A	N/A	Use exclusive SB offering as a point of differentiation.

CVS/Drug Stores Capture About **XX** of OTC Leakage from BJ's Converted Shoppers



- **CVS is the primary leakage destination**
 - Largest share of converted OTC shoppers
- **Leakage is not driven by value**
 - BJ's generally offers larger pack sizes and stronger value than CVS
- **Convenience likely drives leakage**
 - Lack of in-club pharmacy creates a traffic advantage for CVS